

Procure Space ETF

SPCX NASDAQ

Hold	\$139.65 ▼ 2.57%	12M Price Target \$155.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.84T
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SPCX: Space ETF Cools as SpaceX Unlock Looms

WHAT HAPPENED

- SPCX dropped 2.6% today and is down about 4.5% from Monday's high — mostly because SpaceX (which SPCX has heavy indirect exposure to via holdings like Rocket Lab, Iridium, and Planet Labs) is facing a "share unlock" — meaning insiders and early investors are finally allowed to sell shares they've been holding, which floods the market with supply and pushes prices down.
- Bonus catalyst: China hit a rocket milestone, which spooked investors about US space dominance — even though more competition usually means MORE government spending on space, not less. The market's reacting emotionally in the short term.

WHY IT MATTERS

Here's what I think is really going on: the space sector had a monster run (SPCX hit \$225 earlier this year), and now we're in a healthy pullback where the froth comes off. The SpaceX share unlock is a technical event, not a fundamental one — it doesn't change the underlying business, but it does mean sellers outnumber buyers for a few weeks. More importantly, the Starlink 11,000 satellite milestone is actually bullish for the ecosystem — every satellite launched requires ground stations, spectrum, insurance, and components, and SPCX holds many of those "picks and shovels" names. The China angle cuts both ways: near-term fear, but medium-term it likely forces Congress to open the checkbook wider on Space Force and NASA.

POLICY & POLITICAL WATCH

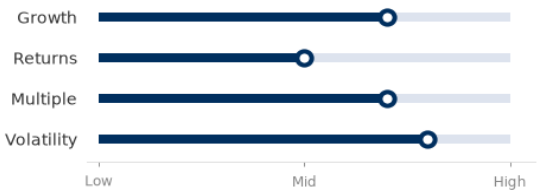
The big thing to watch is the FY2027 defense authorization working through Congress right now — Space Force is expected to get a ~\$35B budget request (up from ~\$29B), and if that clears, it's a direct tailwind for SPCX holdings like Rocket Lab, L3Harris, and Iridium that hold DoD contracts. There's also an active FCC proceeding on spectrum allocation for satellite broadband — if the FCC sides with satellite operators over terrestrial telecoms, Starlink competitors in SPCX (like Iridium and Viasat) get a real boost. Wildcard: any Trump executive order pushing "Golden Dome" missile defense would be jet fuel for the space defense names in this ETF.

IS IT EXPENSIVE?

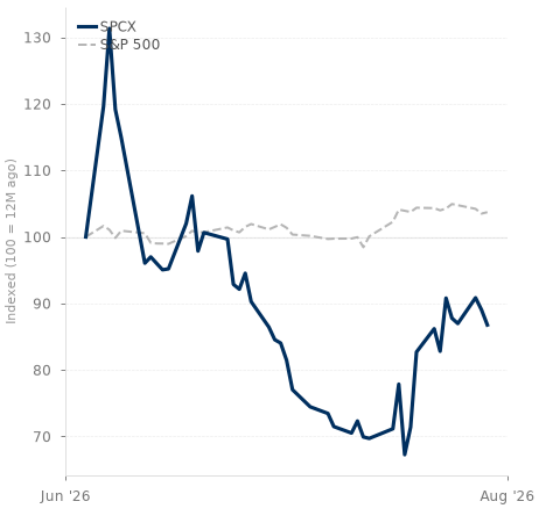
Key Data

Price (USD)	\$139.65
12M Price Target	\$155.00
Upside / (Downside)	+11.0%
Market Cap	\$1.84T
FY2026E Revenue	\$0K
FY2027E Revenue	\$0K
FY2026E EPS	\$0.00
FY2027E EPS	\$0.00
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$152.00	\$142.00	\$130.00
6 Months	\$175.00	\$155.00	\$125.00
1 Year	\$210.00	\$165.00	\$115.00
2 Years	\$260.00	\$190.00	\$110.00
5 Years	\$400.00	\$275.00	\$130.00
10 Years	\$700.00	\$450.00	\$150.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+3.5%) is ripping — likely on positive drug pricing news or Medicare reimbursement clarity. Consumer Discretionary (+1.9%) suggests risk-on for consumer spending, which is broadly bullish for markets.

COOLING OFF: Tech and space-adjacent names are cooling as the SpaceX unlock creates sector-wide indigestion. Money is rotating OUT of high-multiple growth into defensive value.

ROTATION WATCH: Classic late-summer rotation into healthcare and staples — investors are getting defensive ahead of September (historically the worst month for stocks). Space stocks get caught in this crossfire even though fundamentals are fine.

RELATED PLAY: If you like the space thesis but want less volatility, look at defense primes like LMT (Lockheed) or NOC (Northrop Grumman) — they benefit from the same Space Force budget growth but with dividends and lower beta.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Winning share from SpaceX in small-satellite launch and getting DoD contracts — best pure-play growth story in the ETF.
- IRDM (Iridium): Steady cash flow from satellite communications plus DoD contracts — the "boring winner" of the space theme.

SPCX CONTEXT: SPCX is lagging its individual top holdings because the ETF structure smooths out both the upside AND downside. When space is hot, single names outperform SPCX; when it's cooling like now, SPCX holds up better than the volatile names. That tells me SPCX is best used as a "sleep at night" way to own the theme without picking winners.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term space thesis but the near-term technicals (SpaceX unlock, seasonal weakness) argue for patience.

POSITION SIZE: 2-4% of portfolio — this is a thematic bet, not a core holding. Keep it small enough that a 30% drawdown doesn't wreck your year.

ENTRY POINTS: I'd wait for \$130-135 to add — that's near the pre-summer breakout level and would represent a full digestion of the unlock. Buying here at \$139 isn't wrong, just not optimal.

TIME HORIZON: 12-36 months — the real catalyst is the FY2027 defense budget passing (late 2026/early 2027) plus continued commercial space contract wins.

WHEN TO BAIL: If Space Force budget gets cut more than 15% OR if two of the top 5 holdings issue guidance cuts within a quarter, the thesis is broken — get out.

HEDGING: Simplest hedge: keep 20-30% of your intended position in cash to average down if it hits \$125. If you want a real hedge, pair it with a boring dividend ETF like SCHD — when growth sells off, dividend names typically catch a bid.